

SHOPIFY INC.

(NYSE: SHOP)

Commerce's Operating System — Owned by Giants, Priced for Perfection

HOLD — \$137.00 Target

Equity Research Note · Technology — E-Commerce Software & Payments · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
HOLD	\$137.00	\$151.39	-9.5%	Medium-High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$196 bn (1.296 bn sh × \$151.39)	Merchant Solutions	~75% of revenue; Shop Pay ~70% of GMV
Net cash	~\$4.77 bn (per model)	Free cash flow margin	~20% (FY2025)
52-week range	~\$94.00 – \$182.19	Q4'25 guide (Dec 5 print)	Revenue +~29% YoY; GM 37.9% (MS) / 77.0% (Sub)
GMV / revenue attach	\$418 bn GMV; 2.74% blended attach	AI shopping presence	Integrated with ChatGPT, Gemini, Copilot agents
Gross margin profile	~48% overall; Merchant Solutions ~38%, Subscriptions ~77%	Next catalyst	Q4'25 earnings (December 2026); holiday GMV / attach print

1 Investment Thesis

Shopify has become the operating system of independent commerce. On \$418 billion of gross merchandise volume the company extracts a 2.74% blended attach rate, and the machinery behind that take is genuinely impressive: merchant solutions are now roughly three-quarters of revenue, Shop Pay processes about 70% of GMV, and the gross-margin stack — ~38% on merchant solutions, ~77% on subscriptions — funds a free-cash-flow margin near 20% that most software companies would envy. The business earns its premium multiple. The stock does not earn the price it trades at.

Our judgment, and the reason this is a HOLD at \$151.39 rather than a buy, is that the current price demands flawless execution on two independent bets simultaneously. The first is that e-commerce penetration and Shopify's share of it compound at roughly 20% for a decade — a growth path that takes GMV from \$418 billion toward the multi-trillion scale while the attach rate holds or rises. The second is that the margin expansion embedded in that growth — from ~20% free-cash-flow margins to a 23% through-cycle level — survives the pricing discipline the giant platforms are imposing. Both bets are plausible. Neither is certain. And the market is paying for both.

The pressure on the attach rate is the structural story of this note. Shopify does not own its endpoints: distribution runs through Apple, Google, Meta, and Microsoft, which control the phones, the searches, and the feeds where discovery happens — and each takes its toll, most visibly the roughly 30% Apple extracts from App Store transactions, against which Shopify's own App Store keeps about 20%. As commerce migrates into agentic AI shopping — ChatGPT, Gemini, Copilot agents that transact on the shopper's behalf — the platform layer's leverage over the commerce layer grows, not shrinks. Shopify has integrated with these agents, which is the right move, but the tollbooth owner and the tollbooth tenant do not earn the same return. Our terminal assumption that the attach rate holds rather than compresses is a bet on Shopify's merchant-side leverage; it is one of the least certain numbers in the model.

On a 10-year scenario DCF the numbers are \$23.3 / \$139.8 / \$243.7, weighted to a \$137 target — 9.5% below the quote. The base case is genuinely optimistic: 20.2% revenue CAGR for a decade, margins expanding to 23%, GMV

attach preserved. Even that optimistic path is worth less than the current price. The upside case (\$243.7) requires the bull version of everything — 23.9% CAGR, 28% margins, a lower 8.5% discount — and still only offers 61% upside from \$151.39. We would buy this franchise at a price that compensates for the attach-rate uncertainty. That price is around \$137, not \$151.

Why the market will care

- **\$418B GMV at 2.74% attach is a real franchise.** Merchant solutions at ~75% of revenue and Shop Pay at ~70% of GMV show a platform that keeps deepening its wallet share per merchant — the economics work, today.
- **The tollbooth problem is structural.** Shopify rents its endpoints from Apple/Google/Meta/Microsoft; the ~30% Apple toll versus Shopify's ~20% App Store take is the template for how platform leverage flows. Agentic AI shopping strengthens the platforms, not the tenants.
- **The price requires two bets at once.** 20%+ revenue CAGR for a decade AND preserved attach rates AND margin expansion — our base case grants all three and is still worth \$139.8, below the \$151.39 quote.

2 Business Overview — What Shopify Is Doing

(Ottawa, Canada; CEO Tobias Lütke)

Shopify provides the commerce infrastructure for millions of merchants: storefronts, checkout (Shop Pay), payments (Shopify Payments), shipping, capital, and the App Store ecosystem. Revenue splits into two streams. Merchant Solutions (~75% of revenue) is payments and transaction-adjacent services — it scales with GMV and carries a ~38% gross margin. Subscription Solutions (~25%) is the SaaS recurring core at ~77% gross margin. The blended gross margin is roughly 48%, and the business has reached a ~20% free-cash-flow margin — a genuinely software-grade profit profile on what is fundamentally a volume business.

Growth has been re-accelerating: revenue growth hit 33% in Q3 2025, GMV growth 32% to \$111.5 billion in the quarter, and Q4 2025 guidance (reported December 5, 2025) calls for roughly 29% revenue growth with gross margins of 37.9% on merchant solutions and 77.0% on subscriptions — the mix holding remarkably well. Management frames the opportunity as agentic AI commerce: Shopify is integrating with ChatGPT, Gemini, and Copilot shopping agents, positioning the platform as the checkout layer wherever agents transact. Enterprise merchant wins continue, and the App Store adds a second revenue engine on top of the GMV take.

The forward question is whether the attach rate is the ceiling or the floor. Every percentage point of attach on \$418 billion of GMV is \$4.2 billion of revenue; holding 2.74% while GMV grows 20% annually is the entire base case. The platforms' leverage is the risk: as Apple, Google, Meta, and Microsoft interpose themselves between merchants and shoppers — now including AI agents — the take available to the commerce layer compresses at the margin. Shopify's counter is merchant indispensability: switching the operating system of your business is far harder than switching an ad channel.

What the company is doing now

- **Merchant Solutions (~75% of revenue, ~38% GM).** Payments and transaction services scaling with GMV; Shop Pay at ~70% of GMV is the moat's operational expression.
- **Subscriptions (~25% of revenue, ~77% GM).** The SaaS recurring core; high-margin ballast as transaction revenue cycles.
- **App Store (~20% take).** The ecosystem flywheel: third-party apps deepen merchant lock-in while Shopify clips the marketplace spread — though Apple's ~30% toll is the reminder of who owns the endpoint.
- **Agentic AI positioning.** Integrated with ChatGPT, Gemini, and Copilot shopping agents; the bet is that Shopify becomes the checkout layer wherever agents transact.

3 Financial Analysis

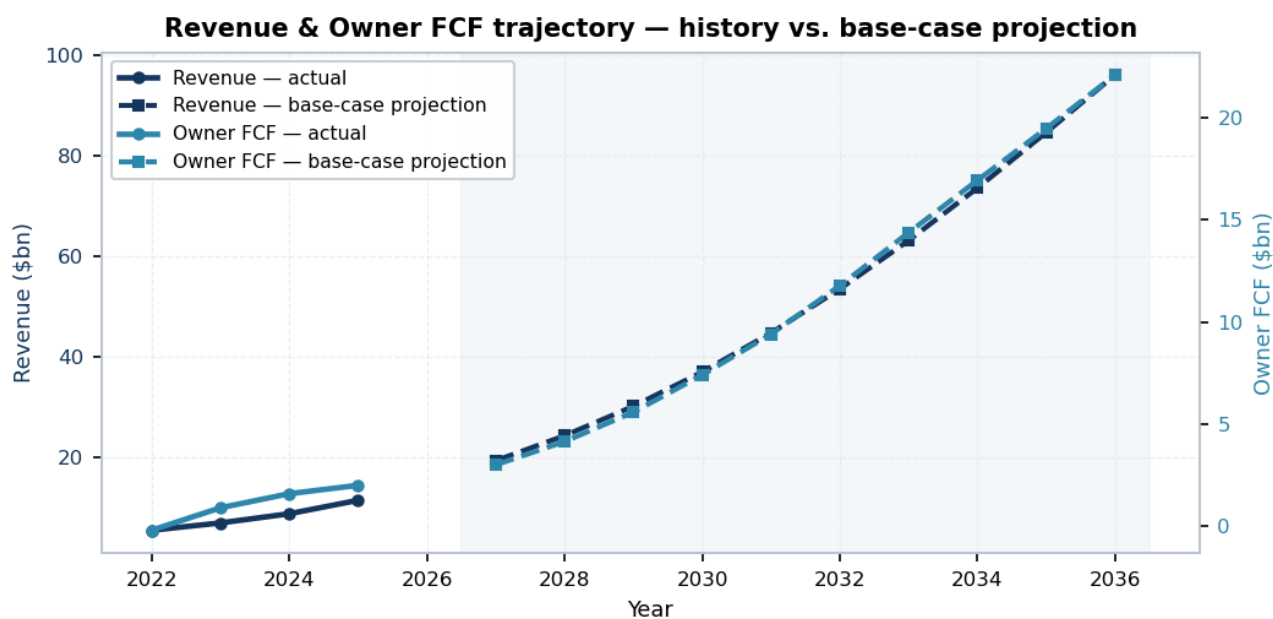
\$ bn	FY2022	FY2023	FY2024	FY2025
Revenue	5.60	7.06	8.88	11.56
YoY growth	—	+26%	+26%	+30%
Gross margin	—	—	~48%	~48%
Free cash flow	-0.19	0.91	1.60	2.01
FCF margin	-3%	13%	18%	~20%
GMV (annual est.)	—	—	~\$293	\$418

Sources: company filings; annuals via yfinance. FY2026E: \$15.3B revenue, \$2.15B owner FCF (model anchors).

The margin stack is the business: 38% gross on merchant solutions, 77% on subscriptions, blended ~48%, converting to ~20% free-cash-flow margins at scale. Our model has FY2026 owner FCF at \$2.15 billion on \$15.3 billion of revenue (~14%), expanding to \$22.1 billion on \$96.1 billion by 2036 (23%). This is a margin-expansion story as much as a growth story — and the expansion is assumed, not demonstrated: Shopify's cost structure must absorb payment processing costs, AI investment, and platform tolls while growing headcount-sensitive functions slower than GMV. The historical record is encouraging — margins have expanded from negative to ~20% — but the last five points of expansion are always the hardest.

The balance sheet is a fortress: ~\$4.77 billion of net cash (our model figure), no leverage constraint on the story, and the company's history of one-time gains (the Affirm/Doordash/Global-E stakes harvested in prior years) is a reminder that reported earnings periodically flatter. We value on owner free cash flow, not GAAP net income, precisely to exclude those.

Revenue & cash-flow trajectory



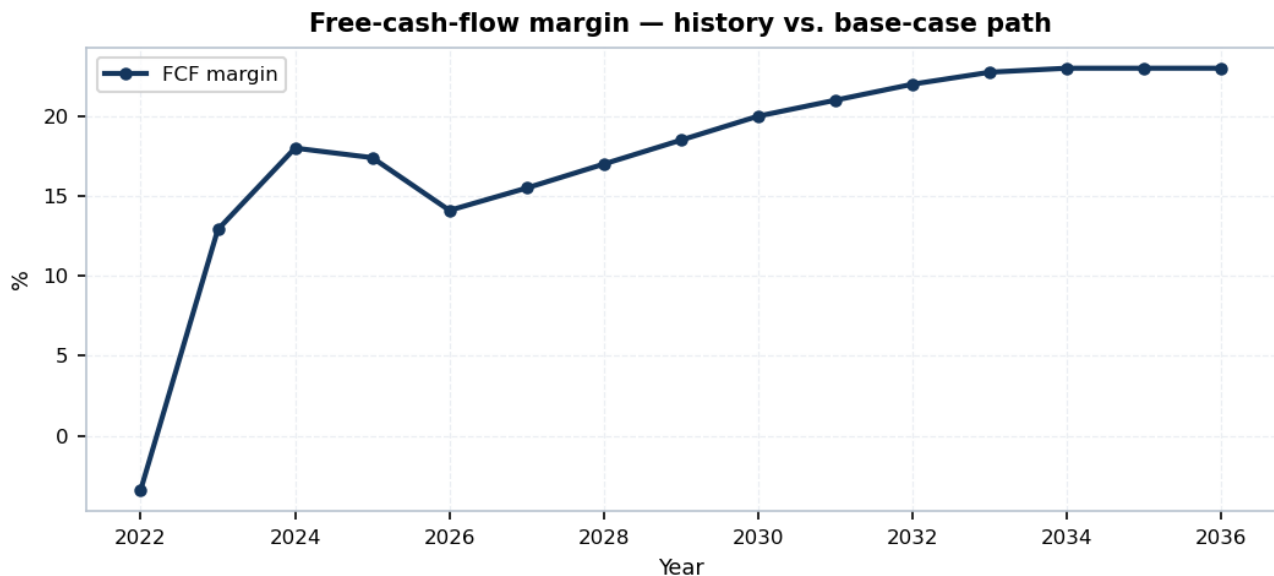
History: company filings via yfinance. Projection: base-case path off the \$15.3B FY2026E revenue anchor (20.2% 10-yr CAGR; FCF margin gliding 14% to 23%).

4 Moat & Competition

- **The merchant operating system.** Millions of merchants run their business on Shopify; switching the OS of your company is prohibitively costly. Data, integrations, and workflows compound into real lock-in.
- **Shop Pay at 70% of GMV.** The highest-converting checkout on the internet is a network effect: more shoppers with Shop Pay accounts make Shop Pay more valuable to merchants, and vice versa.

- **The App Store ecosystem.** Third-party developers extend the platform in ways Shopify could never build alone — and Shopify clips ~20% while deepening merchant dependence.
- **The moat's boundary is the endpoint.** Shopify does not own the phone, the search, or the feed. Every platform toll — Apple's 30% is the template — is a tax on the franchise that Shopify cannot unilaterally resist.

Free-cash-flow margin — history vs. base-case path



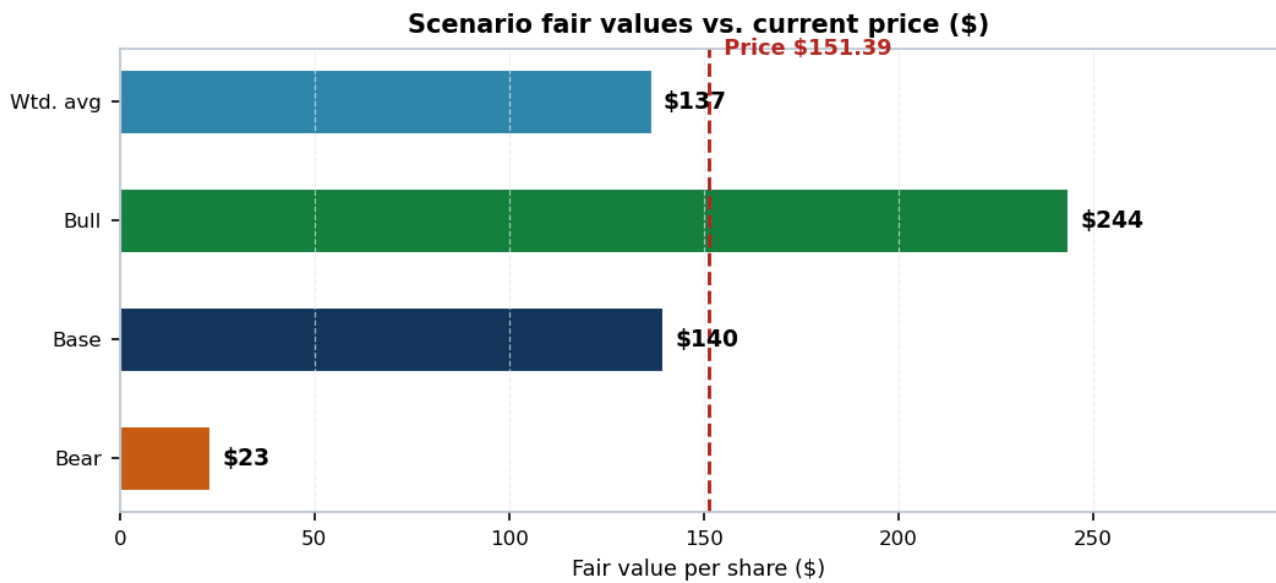
5 Valuation — 10-year scenario DCF on owner free cash flow (FY2027–FY2036), Fair Value \$137

We value Shopify on a 10-year explicit DCF of owner free cash flow (FY2027–FY2036), weights bear 25% / base 50% / bull 25%. Scenario discounts: base 10.0% (high-quality franchise, GMV concentration, platform-dependency risk), bear 12.5% (base + 250bp), bull 8.5% (base – 150bp). Terminal growth 1.5% / 2.5% / 1.0% on year-10 FCF at the scenario's terminal margin (15% / 23% / 28%) — no peak margins. Revenue grows along the scenario growth path (10-year CAGR: bear 2.9%, base 20.2%, bull 23.9%); FCF margin glides from ~14% (FY2026) to the terminal margin. Equity = firm EV + \$4.77B net cash, over 1.296B diluted shares. Terminal value is 34–70% of EV across scenarios — within discipline, no haircut required.

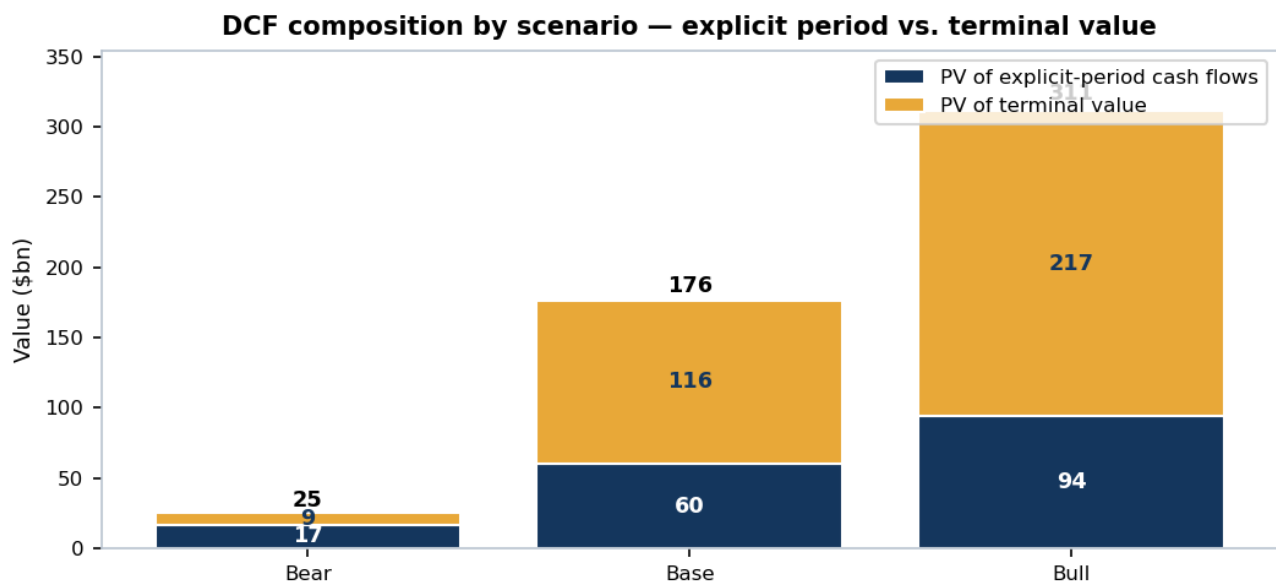
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Platform tolls compress the attach rate; e-commerce growth normalizes; GMV CAGR stalls at 2.9%; FCF margins cap at 15% as costs absorb the platform taxes	+2.9%	15%	12.5% / 1.5%	34%	\$23.30
Base	GMV compounds ~20% for a decade with attach held at ~2.7%; FCF margins expand 14% to 23%; agentic AI commerce deepens rather than displaces the platform's take	+20.2%	23%	10.0% / 2.5%	66%	\$139.80
Bull	Franchise-as-monopoly: 23.9% revenue CAGR; attach expands above 3% on App Store/payments mix; 28% terminal FCF margins; AI-agent checkout deepens Shopify's per-transaction take	+23.9%	28%	8.5% / 1.0%	70%	\$243.70
Wtd. avg	Probability-weighted (25/50/25) → \$137.00 target					\$137.00

$0.25 \times \$23.3 + 0.50 \times \$139.8 + 0.25 \times \$243.7 = \$136.7 \rightarrow \$137$ target. Bear meets all hurt conditions (revenue CAGR ~3%, margin compression, 25%+ derating).

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$bn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Platform leverage over the franchise.** Apple, Google, Meta, Microsoft own the endpoints; the ~30% App Store toll is the template. Agentic AI shopping strengthens the endpoint owners' hand, not Shopify's.
- **Attach-rate compression.** Every 10bp of attach on \$418B GMV is ~\$420M of revenue; competition or platform terms that compress the 2.74% take cut the model at the top line with no offsetting cost saving.
- **Growth expectations are extreme.** The price embeds a 20%+ revenue CAGR for a decade — the base case grants it and is still worth less than the quote. Any deceleration reprices sharply.
- **Take-rate sensitivity.** Merchant solutions is ~75% of revenue at ~38% gross margin; pricing pressure on payments processing flows directly to the bottom line.

- **Competition.** Amazon's Buy with Prime, BigCommerce/Adobe Commerce at the enterprise edge, and the platforms' own native checkout products all contest GMV share.
- **Cyclicality of GMV.** Consumer spending drives GMV; a demand slowdown hits the transaction-revenue majority first.

What would change our mind

The base case's attach-rate assumption would be withdrawn if blended attach slips for two consecutive quarters while GMV grows — that breaks the revenue path from the inside and we would cut toward the bear case. A major platform tightening commerce terms (higher tolls, mandatory native checkout) is a second falsification trigger. Conversely, attach expansion above 3% sustained over a year — via App Store and payments mix — validates the bull path. Watch Q4 2025 (December 2026): holiday GMV and the attach print are the numbers that matter.

7 Methodology

We value the business on a 10-year explicit DCF of owner free cash flow (bear 25% / base 50% / bull 25%). Revenue follows the scenario growth path (bear 2.9% / base 20.2% / bull 23.9% 10-year CAGR); free-cash-flow margin glides from the current level to the scenario's terminal margin (15% / 23% / 28%) over the horizon. Discount rates: base 10.0%, bear +250bp (12.5%), bull –150bp (8.5%). Terminal growth (1.5% / 2.5% / 1.0%) applies to year-10 FCF at the scenario's terminal margin. Equity = firm EV + net cash; divided by diluted shares. Bear cases must be genuinely adverse and sit below the current price. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine business-model volatility, the balance sheet, and the valuation. This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.

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